

# Contoso Cloud Ltd.

## Quarterly Financial & Commercial Review — Q2 2026

Prepared for internal management review. This fictional document is designed for testing document extraction, financial analysis, and risk-analysis agents.

### 1. Executive Summary

Contoso Cloud Ltd. provides cloud infrastructure and AI platform services to enterprise customers. During Q2 2026, revenue increased compared with Q1, driven primarily by the Enterprise AI Platform and managed cloud services. However, operating expenses also rose because of infrastructure expansion, marketing expenditure, and higher contractor costs.

### 2. Quarterly Financial Performance

| Metric                   | Q1 2026     | Q2 2026     |
|--------------------------|-------------|-------------|
| Revenue                  | \$4,800,000 | \$5,650,000 |
| Cost of Revenue          | \$1,920,000 | \$2,430,000 |
| Gross Profit             | \$2,880,000 | \$3,220,000 |
| Sales & Marketing        | \$760,000   | \$1,040,000 |
| Research & Development   | \$910,000   | \$1,180,000 |
| General & Administrative | \$540,000   | \$610,000   |
| Operating Profit         | \$670,000   | \$390,000   |
| Cash Balance             | \$3,250,000 | \$2,610,000 |

### 3. Revenue by Business Segment — Q2 2026

| Business Segment       | Revenue     | % of Q2 Revenue |
|------------------------|-------------|-----------------|
| Enterprise AI Platform | \$2,430,000 | 43.0%           |
| Managed Cloud Services | \$1,750,000 | 31.0%           |
| Developer Tools        | \$850,000   | 15.0%           |
| Professional Services  | \$620,000   | 11.0%           |

## 4. Major Expenses and Commitments

| Item                         | Amount    | Notes                               |
|------------------------------|-----------|-------------------------------------|
| GPU infrastructure expansion | \$720,000 | Capacity expansion for AI workloads |
| Digital marketing campaign   | \$410,000 | Up 64% from Q1 campaign spending    |
| External AI contractors      | \$385,000 | Six-month development contracts     |
| Office lease commitment      | \$96,000  | Annual non-cancellable commitment   |

## 5. Customer Concentration

The five largest customers generated 46% of Q2 revenue. The largest individual customer, Northwind Manufacturing, represented 18% of quarterly revenue. Its current enterprise agreement expires on 31 December 2026 and has not yet been renewed.

## 6. Accounts Receivable

| Category                  | Amount      |
|---------------------------|-------------|
| Current                   | \$1,120,000 |
| 31–60 days overdue        | \$420,000   |
| 61–90 days overdue        | \$210,000   |
| More than 90 days overdue | \$185,000   |

## 7. Management Notes

- Management expects continued demand for enterprise AI services in the second half of 2026.
- The company plans an additional \$1.2 million GPU infrastructure purchase in Q3, subject to board approval.
- Two customers representing a combined 9% of Q2 revenue have requested extended payment terms from 30 to 60 days.
- No provision has yet been recorded for the \$185,000 of receivables outstanding for more than 90 days.
- Management is evaluating whether to reduce contractor dependence during Q4.

## 8. Analysis Tasks

Use this report to: (1) extract the key financial and commercial information, (2) compare Q1 and Q2 performance, including relevant percentage changes, (3) identify financial and commercial risks, and (4) prepare a concise management summary. Do not assume facts that are not stated in the document.